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Oracle Credit Research



Robert Schiffman
Team: Credit
BI Senior Credit Analyst

Outlook

Another Oracle Data-Center Delay Clouds AI Payoff: Credit React

Contributing Analysts Suchi Trivedi

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Oracle's Project Lighthouse in Wisconsin faces a material risk of delayed power availability, according to a report by Aterio, adding to recent concerns around Project Jupiter and raising execution risk across its AI data-center build-out. Further delays could push out delivery of capacity, revenue and Ebitda needed to monetize Oracle's heavy AI investment, while negative free cash flow and elevated funding needs persist. Until operating performance demonstrates that new capacity can be delivered and converted into cash flow, execution concerns could continue weighing on Oracle bonds, credit-default swaps and equity valuation. (09/30/26)

Oracle Force Majeure Tests Timing, Not AI Demand: Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Oracle's force majeure notice for Project Jupiter looks more like a timing issue than a sign of weaker AI demand, supporting our view that it can maintain high grade ratings, and recent bond and CDS widening may be overdone. Delayed payments could ease near-term cash burn and funding needs, though a later start would push out revenue and Ebitda growth and raise uncertainty around monetizing Oracle's AI investments. Its $664 billion of RPO provides strong visibility, but conversion into revenue and cash flow is critical as heavy fiscal 2027 capex keeps free cash flow negative and borrowing needs elevated.

Greater funding clarity, including likely debt issuance in 1H27, and continued operating improvement could support spread tightening and relative outperformance vs. megacap hyperscaler tech peers as execution risk recedes. (09/26/26)

Credit Considerations

Credit Checklist

Oracle CDS Breach Record High, Yet AI Growth Could Eclipse Risk

Contributing Analysts Suchi Trivedi

Record highs for Oracle's credit default swaps (CDS), now exceeding 220 bps, may overstate its standalone credit risk as AI funding concerns increasingly make the name a proxy hedge for data-center exposure. Investors and lenders financing Oracle-tenanted and other AI data-center projects can use its liquid CDS to hedge construction and tenant risk, potentially pushing spreads wider than Oracle's standalone fundamentals would indicate. Oracle's 121% growth in cloud infrastructure and $664 billion RPO increasingly support management's commitment to investment grade ratings as stronger AI monetization expands Ebitda and gradually offsets leverage pressure from the build-out. Project Jupiter adds execution noise, but disciplined funding and continued backlog conversion could narrow the gap between market-implied risk and Oracle's underlying credit profile. (09/26/26)

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Interactive Credit Checklist: Oracle

Credit Drivers	Outlook	Outlook Trend	Weighting (%)
Earnings & Cash Flow	Neutral	↔	25
Leverage & Financial Policies	Unfavorable	↔	20
Competitive Landscape	Favorable	↔	10
M&A	Favorable	↔	10
Event Risk	Neutral	↔	5
Stock Performance	Unfavorable	↔	15
Debt Maturities	Unfavorable	↔	15
Valuation	Favorable	↔	N.A.

Unfavorable Neutral Favorable

Note: This reflects a qualitative analysis by a Bloomberg Intelligence Analyst and is as of the date of publication.

Bloomberg Intelligence

Source: Bloomberg Intelligence

Credit Drivers: Spending Rises

Oracle's AI Build-Out Means Debt Hangover Extends Through 2027

Contributing Analysts Suchi Trivedi

Oracle's next credit test is less about 2026 bond supply than whether surging AI revenue can outrun its massive capital needs. At least another $20 billion of borrowing may come in 2027 as free cash flow stays deeply negative. Equity, customer funding and project financing provide important offsets, and rapid Ebitda growth offers an eventual path to deleveraging, but execution and lease obligations keep ratings pressure elevated. (10/06/26)

Debt Nears Peak and Heads Even Higher

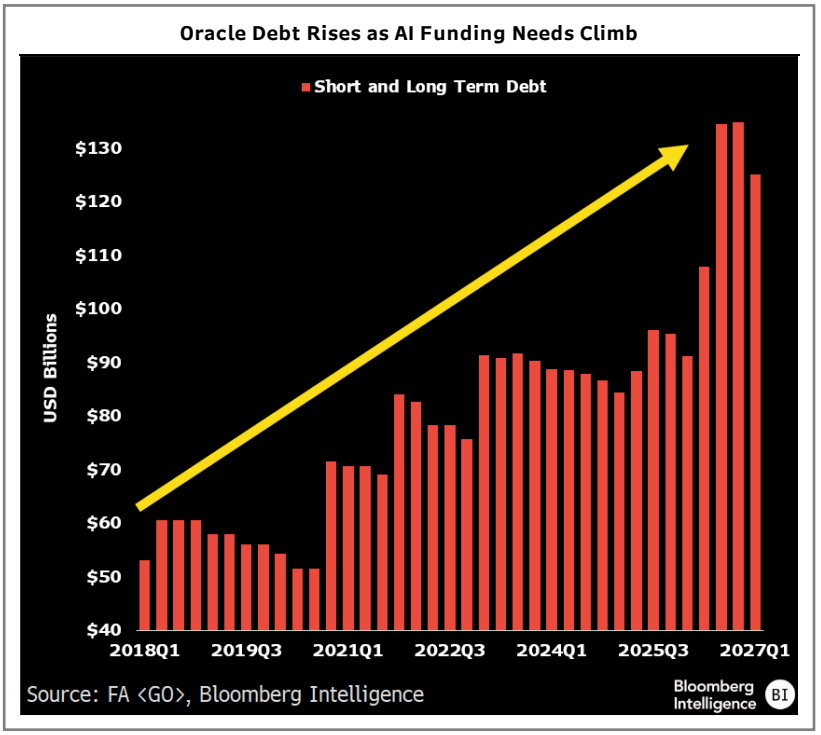
Contributing Analysts Suchi Trivedi

Oracle's debt has risen to record levels approaching $125 billion, up from $108 billion at the end of fiscal 2025, even after declining from roughly $131 billion at the end of fiscal 2026. Its balance-sheet expansion stands out well beyond tech, with Oracle now among the largest non-financial issuers in the Bloomberg US Corporate Bond Index after February's $25 billion bond sale. Heavy AI infrastructure spending should keep free cash flow deeply negative, though Oracle has added more equity to its funding mix, including $5 billion of mandatory convertibles and a completed $20 billion equity issuance.

Management says no more debt is expected in calendar 2026, but roughly $40 billion of fiscal 2027 funding needs suggest borrowing will return, with $20 billion or more of debt issuance likely in 2027. (10/06/26)

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Will Backlog Growth Transition to Cash Flow?

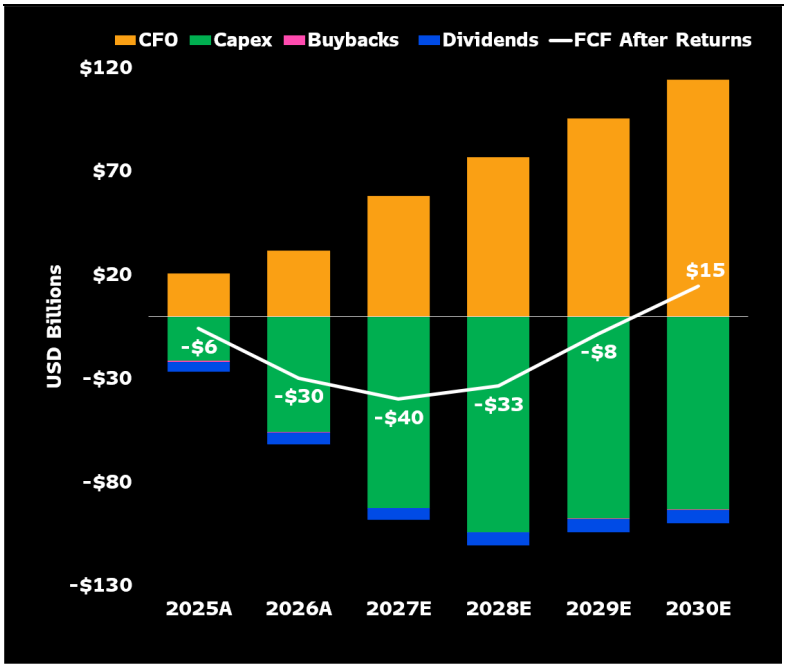
Contributing Analysts Suchi Trivedi

Oracle's free cash flow will likely remain deeply negative as AI infrastructure spending surges. Consensus implies roughly $80 billion of cumulative cash burn through fiscal 2029 including dividends. Management has shown willingness to limit external funding needs through a mix of debt, equity and customer-supported equipment purchases. Remaining purchase obligations reached $664 billion in 1Q, up $209 billion year-over-year, yet Oracle said new contract structures won't increase its capital plan. Oracle raised $48 billion in fiscal 2026 -- $43 billion of debt and $5 billion of equity -- and plans about $40 billion of fiscal 2027 financing. With its $20 billion ATM equity raise completed in 1Q, substantial funding needs remain for 2027.

The sizable equity component reinforces management’s commitment to maintaining a solid investment-grade balance sheet. (10/06/26)

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Source: Bloomberg Intelligence

AI Build-Out Boosts Revenue Expectations

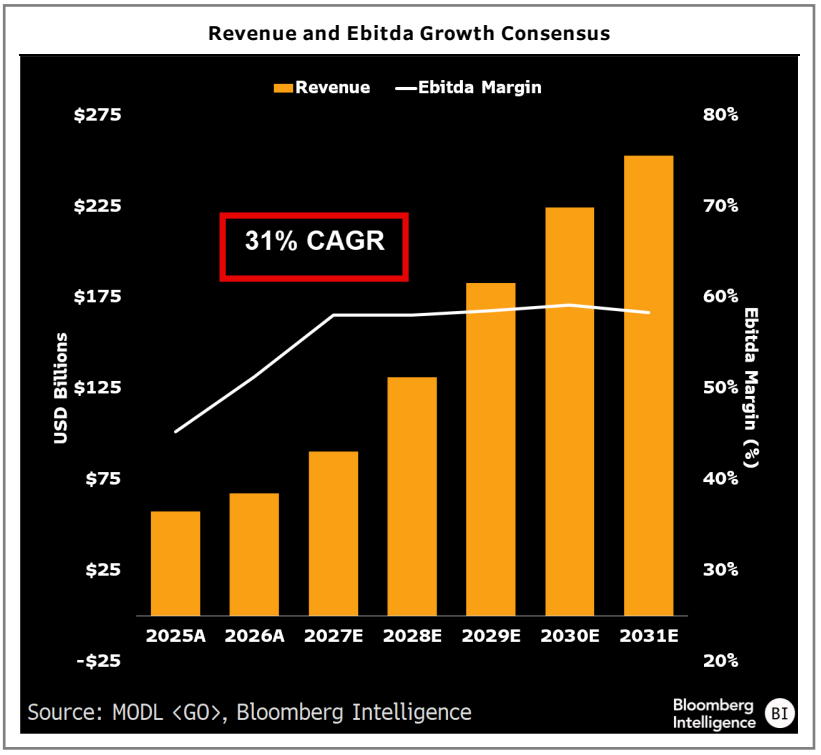
Contributing Analysts Suchi Trivedi

Despite concerns around Oracle's rapid data-center build-out and customer concentration, revenue growth expectations remain substantial. Execution risk has heightened since Oracle issued a force majeure notice on Project Jupiter amid permitting and energy-infrastructure delays, though it says the project remains on schedule. Slippage could slow conversion of remaining purchase obligations into revenue. Oracle targets $225 billion of fiscal 2030 revenue, a roughly 31% CAGR from 2025, while fiscal 2027 guidance of at least $90 billion implies 34% growth.

Consensus assumes much of the backlog converts to revenue and Ebitda margins rise above 55%, providing significant deleveraging capacity despite higher absolute debt. (10/06/26)

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Leverage Rises, But Ebitda Growth Offers Relief

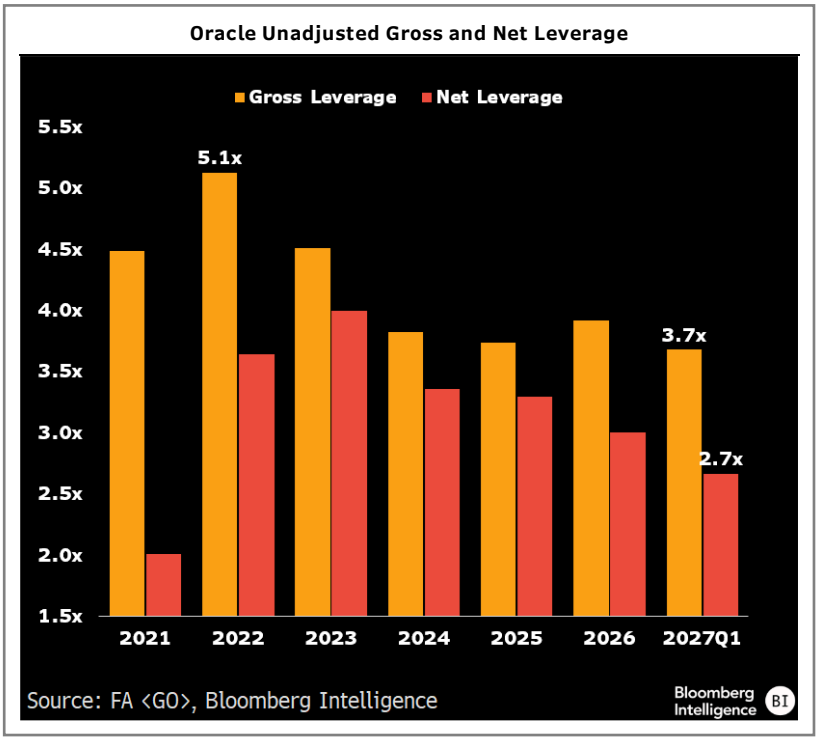
Contributing Analysts Suchi Trivedi

Oracle's leverage may rise as data-center investment outpaces Ebitda growth and additional borrowing funds capex, though gross leverage remains below its 2022 peak. Deleveraging potential is substantial, with consensus Ebitda rising from about $26 billion in fiscal 2025 to more than $130 billion by 2030. Reported leverage also understates broader obligations: Oracle had $44 billion of lease liabilities at the end of 1Q and another $288 billion of lease commitments (largely data centers) not yet on its balance sheet.

Equity issuance, customer-funded equipment and lease financing can reduce upfront debt needs, though raters may capitalize portions of these obligations. Rising Ebitda should still support investment-grade leverage over time. (10/06/26)

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One and Done, Funding Needs Sorted for Year

Contributing Analysts Suchi Trivedi

Beyond unsecured bonds and equity, Oracle can tap bank loans, private credit and project-level financing to fund its data-center buildout while limiting pressure on reported corporate leverage. Reported structures include as much as $38 billion of off-balance-sheet financing tied to private data-center projects, though such obligations may still influence rating agency leverage assessments.

Ratings remain investment grade but reflect the funding risk. After Oracle's $25 billion February bond sale, Moody's affirmed Baa2/Negative and Fitch BBB/Stable, while S&P later cut Oracle one notch to BBB- but moved the outlook to Stable. S&P cited Oracle's 2026 funding plan positively, while Moody's highlighted its contracted return approach to AI infrastructure investment. (10/05/26)

Bloomberg Transcript

"To support our capital investments program, we expect to raise around $40 billion in debt and equity in our fiscal year '27, and that includes our already announced $20 billion at the market equity issuance. We don't anticipate raising additional debt funding in calendar year 2026...And as we pursue these opportunities, we'll remain focused on disciplined capital allocation, maintaining a strong balance sheet, and preserving our investment-grade credit rating."

Hilary Maxson - 4Q 2026 Earnings Call, Oracle Earnings Call, June 10, 2026

Click to view entire transcript

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Liquidity: Negative Free Cash Flow Trajectory

Oracle Debt, AI Leases Surge as Funding Flexibility Holds

Contributing Analysts Suchi Trivedi

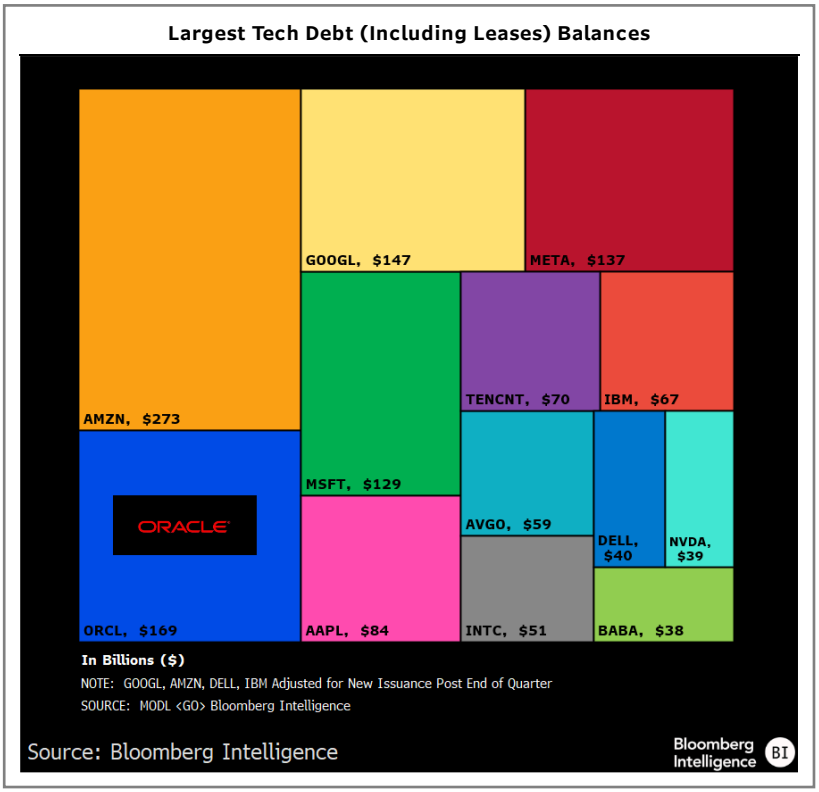
Oracle's AI build-out could keep its debt burden among the highest in corporate credit, but extraordinary revenue and Ebitda growth offer a path to eventual deleveraging. With $125 billion of debt and $288 billion of additional lease commitments, funding needs remain formidable. Yet Oracle has unusually broad options -- bonds, loans, private credit, hybrids, equity, customer funding and project-level financing -- that can limit balance-sheet pressure while it targets nearly 4x revenue growth by fiscal 2031. (10/07/26)

Near Top of the Tech's Adjusted Debt List

Contributing Analysts Suchi Trivedi

Oracle's total debt, including commercial paper, has risen above $125 billion, or about $169 billion on a lease-adjusted basis, placing it among the most highly indebted technology issuers. Only Amazon carries a larger lease-adjusted debt load, with Oracle now above Microsoft, Apple and Broadcom. The burden could rise further as free cash flow remains negative and $288 billion of additional, largely data-center lease commitments begin between fiscal 2Q27 and fiscal 2029.

By market value, Oracle is now the second-largest nonfinancial issuer in the Bloomberg US Corporate Bond Index, behind only Amazon and ahead of Verizon, AT&T, UnitedHealth and Comcast. (10/05/26)



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Ratings Risk Persists as Spending Ramps Up

Contributing Analysts Suchi Trivedi

Oracle's ratings have weakened materially since 2018, with all three major agencies moving it into the BBB category from A-level ratings by 2021. S&P's July downgrade to BBB- leaves Oracle just one notch above high yield, heightening sensitivity to rising capex, execution risk and persistent cash flow deficits. Still, S&P's Stable outlook and higher BBB ratings at Moody's and Fitch suggest near-term downgrade risk remains contained. S&P's outlook assumes improving profitability, even as fiscal 2027 and later cash shortfalls are partly debt funded.

A fall to high yield would likely make Oracle the largest non-investment-grade corporate issuer by debt outstanding. We view that as unlikely and difficult to sustain over the long term. (10/05/26)

Oracle Credit Rating Table

	Moody's	S&P	Fitch
Ratings	Baa2 / Negative	BBB -/ Stable	BBB / Stable
Possible Triggers:			
Upward Bias	Gross Leverage Around 3x	Unlikely Over Next Two Years	Gross Leverage < 3.0x
	Strong Liquidity: FCF to Total Debt About 10%	Adj Leverage Sustained in Mid-3x Area	Ebitda Margin > 45%
Downward Bias	Leverage >3.5x or Liquidity Weakens	Debt/Ebitda > 4.5x with No Clear Path to Improvment	Gross Leverage > 3.5x
	No Clear Path to Positive FCF	No Path to Positive Fiscal 2029 FOCF	Ebitda Margin < 40%
Note:	Click	Click	Click

Source: Bloomberg Intelligence

Bloomberg Intelligence BI

$125 Billion Debt Load as AI Funding Needs Rise

Contributing Analysts Suchi Trivedi

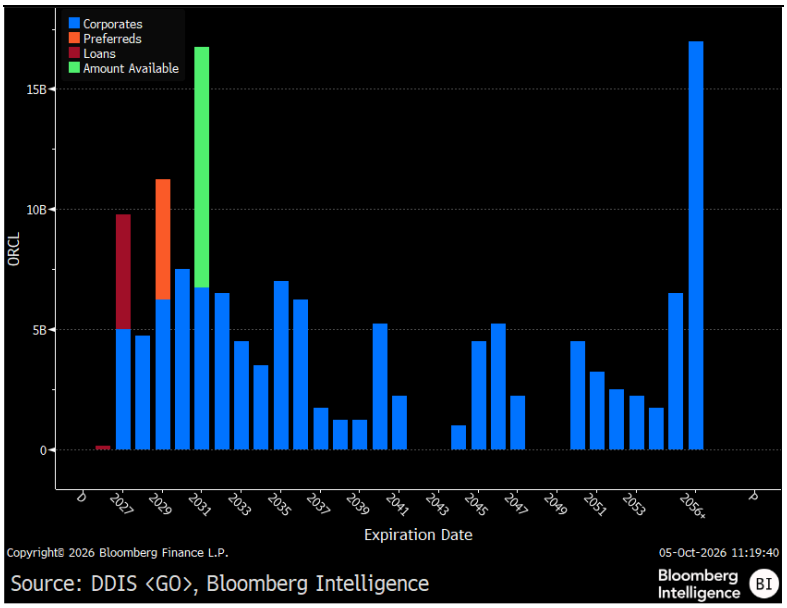
Oracle's debt excluding leases was about $125 billion at fiscal 1Q27-end, down from roughly $131 billion at year-end following repayments. Its long-dated maturity profile and $36 billion of cash provide liquidity support, though roughly $25 billion of debt comes due over the next three years. Consensus free cash flow could fall to about negative $33 billion in fiscal 2027 as the data-center buildout accelerates, reinforcing Oracle's need for continued access to investment-grade capital.

Offsetting that pressure is management's commitment to protecting its investment-grade ratings, including the $20 billion equity raise completed in 1Q and a broader strategy of balancing debt and equity funding. (10/05/26)

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Oracle Debt-Maturity Schedule



Near-Term Funding Needs Become Clearer

Contributing Analysts Suchi Trivedi

Oracle's funding plan points to no additional debt issuance in calendar 2026. Management expects about $40 billion of debt and equity financing in fiscal 2027, including the $20 billion ATM equity raise completed in 1Q27, implying roughly $20 billion of additional funding could come from debt if the mix remains unchanged. Oracle also said more than $30 billion of new AI contracts booked in 1Q won't increase its capital-raising plan.

CFO Hilary Maxson said Oracle doesn't anticipate additional debt funding in 2026, while emphasizing disciplined capital allocation, a strong balance sheet and preservation of its investment-grade rating. The sizable equity component provides an important buffer as AI infrastructure spending remains elevated. (10/05/26)

Bloomberg Transcript

"...our fiscal year 2027 with an expected net cash outlay for capital expenditures of around $70 billion. This includes customer prepayments and timing impacts expected at around $20 billion to $25 billion, so our reported CapEx will be higher by this amount...this demand is allowing us to garner customer prepayments and bring your own hardware at similar or better margins than the rest of our contracts...we expect to raise around $40 billion in debt and equity in our fiscal year '27, and that includes our already announced $20 billion at the market equity issuance. We don't anticipate raising additional debt funding in calendar year 2026."

Oracle CFO Hilary Maxson - Fiscal 4Q26 Earnings Call, Oracle
Bloomberg Transcript, June 10, 2026

Click to view entire transcript

Second-Largest Nonfinancial High-Grade Issuer

Contributing Analysts Suchi Trivedi

Oracle's more than $93 billion of index-eligible debt by market value ranked eighth in the Bloomberg US Corporate Bond Index as of Oct. 2 and second among nonfinancial issuers. Its index footprint has expanded sharply in recent years despite many bonds trading below par as spreads widened, with several longer-dated issues changing hands below 70 cents on the dollar. (10/05/26)

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Largest High-Grade Debt Issuers in the Index

ISIN	Description	Weight	MV↓
▸	JPM (70 members)	2.26313	166,173,611
▸	MS (67 members)	2.22337	163,253,740
▸	BAC (59 members)	2.05735	151,063,382
▸	GS (51 members)	1.76211	129,385,318
▸	C (53 members)	1.46021	107,217,868
▸	WFC (44 members)	1.42464	104,606,280
▸	AMZN (42 members)	1.39506	102,433,881
▸	ORCL (52 members)	1.27836	93,865,219
▸	HSBC (50 members)	1.19359	87,640,733
▸	T (57 members)	1.06015	77,843,005
▸	VZ (51 members)	1.00775	73,995,498
▸	META (25 members)	0.98067	72,006,934
▸	GOOGL (30 members)	0.90210	66,237,587
▸	UNH (59 members)	0.83362	61,210,016
▸	ABBV (38 members)	0.82101	60,283,408
▸	DUK (118 members)	0.81271	59,674,279
▸	CMCSA (55 members)	0.73339	53,849,978
▸	TMUS (40 members)	0.72524	53,252,035
▸	AAPL (39 members)	0.68095	49,999,945
▸	NEE (65 members)	0.67410	49,496,690
▸	PFE (33 members)	0.66116	48,546,602
▸	AVGO (34 members)	0.65479	48,078,844

Source: PORT <GO>, Bloomberg Intelligence

Bloomberg Intelligence

Valuation: Bond Deluge Over?

Oracle CDS Wide Amid Junk Concern; Bond Carry Becomes Compelling

Oracle's debt can outperform high quality tech peers through year-end as the bonds' carry now compensates investors for capital spending and free-cash-flow concerns, while a demotion to high yield still appears unlikely. Oracle's credit-default swaps and long-duration bond spreads climbed to 52-week highs after S&P cut its rating to BBB-, one notch above junk, and the stock price has fallen to a one-year low. Concerns about elevated AI spending, negative free cash flow, funding needs and the timing of AI monetization will persist in 2H, but management has forecast no additional bond issuance, limiting near-term supply pressure. (07/22/26)

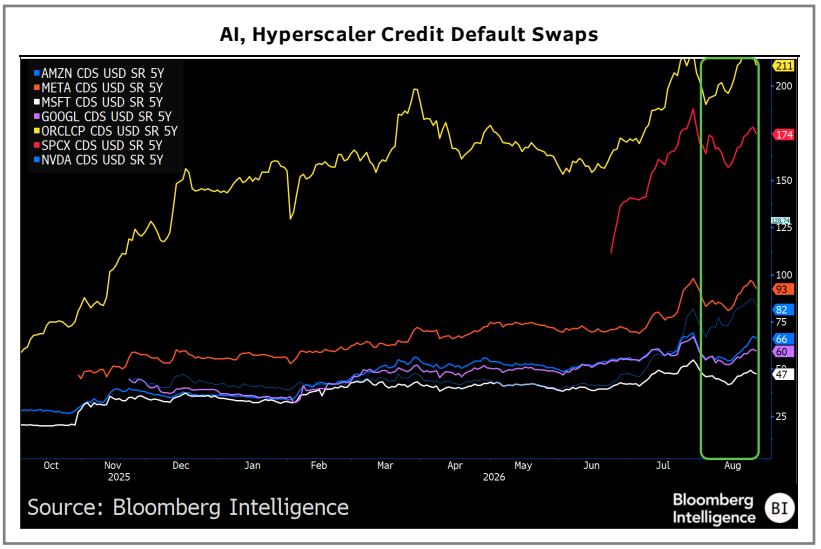
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From BBB to AAA, AI Anxiety Eases as CDS Spreads Rally

Credit-default swap volumes have increased, but have rallied since late July as concerns ease with strong 2Q results suggesting AI monetization is being realized and may justify rapidly rising capex spending and debt issuance. Still, growing scrutiny of circular financing has added another source of risk. Spreads on CDS for some of the highest quality, tightest-trading technology debt issuers as a way to hedge broad hyperscaler and neocloud risk have risen, but not dramatically on an absolute basis. Amazon.com, Nvidia, Meta, Microsoft and Alphabet CDS are 10-40 bps wider over the past 12 months despite AA and AAA credit quality, as free cash flow after shareholder returns turns negative, bond issuance rises and anticipated borrowing needs soar. Oracle and SpaceX, the only BBB issuers in the group, have widened more sharply, but have also recovered sharply, a trend that could slow if the pace of 2H bond issuance declines.

Amid costly AI build-outs, adjusted tech corporate bond unsecured issuance hit an all-time high in 2025. With near $280 billion in hyperscaler dollar-equivalent debt sold year-to-date, issuance has far exceeded historical levels. (08/29/26)



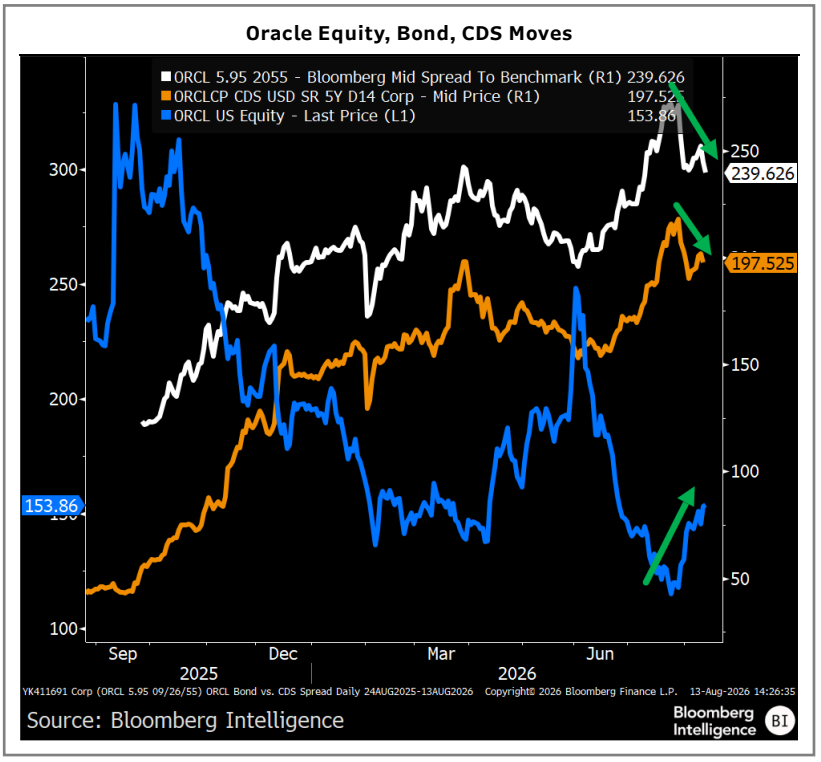
Equity, Debt Valuations Begin to Show Improvement

Rising debt, increased leverage and lack of confidence in future cash flow have raised concerns about Oracle's credit ratings, with fears of losing its high grade status casting a shadow over valuations. Yet Oracle's stated commitment to investment grade is supported by its decision to issue as much as $25 billion of equity in 2026 to fund its AI ambitions. Also, stable outlooks at S&P (BBB-) and Fitch (BBB), along with Baa2 ratings at Moody's, indicate a fall to high yield over the next 12 months is very unlikely. With $130 billion of bonds outstanding, avoiding a descent to junk is critical to Oracle's success, with options including off balance sheet financing, customer prepayments and bring-your-own-hardware options that cut capital spending, plus larger equity issuance that could slow leverage deterioration and preserve high grade access.

Funding needs may decline as more vendors show interest in renting capacity, which would reduce Oracle's cash needs. Also, turning to banks, private debt and equity markets for funding helps reduce reliance on public debt markets. (08/14/26)

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Despite Some Recovery, Well Wide to Comparables

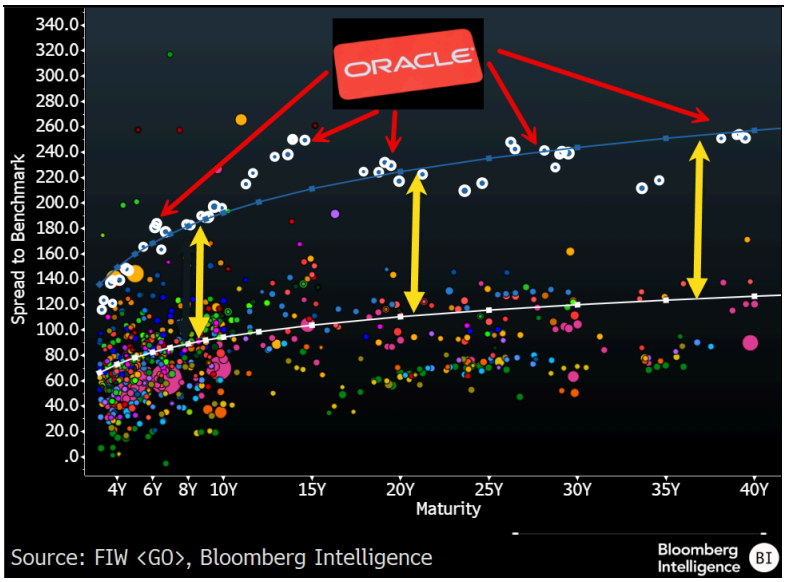
Oracle bonds trade 70 bps wider than its BBB high grade tech peer average, with that discount rising to 70-130 bps relative to all high grade tech. Its longest duration 6.7% bonds that mature in 2056 have widened 70 bps since issuance in February, falling to 89 cents on the dollar, but have tightened 40 bps over the past three weeks as AI sentiment has improved across hyperscalers. With Oracle meeting its 2026 public-debt financing needs, trading technicals can improve, despite large 2027 funding needs likely. Even if the wider spreads simply stabilize, though our bias remains toward tightening as operational execution improves, 2H outperformance potential has risen based on considerable excess relative carry.

Oracle's negative 117 bps of excess returns this year have underperformed tech peers and the broader index by 80 bps and 159 bps, respectively. (08/14/26)

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Oracle Spreads vs. High Grade Tech Peers



Risks Are Real But Appear Manageable

(04/23/26)

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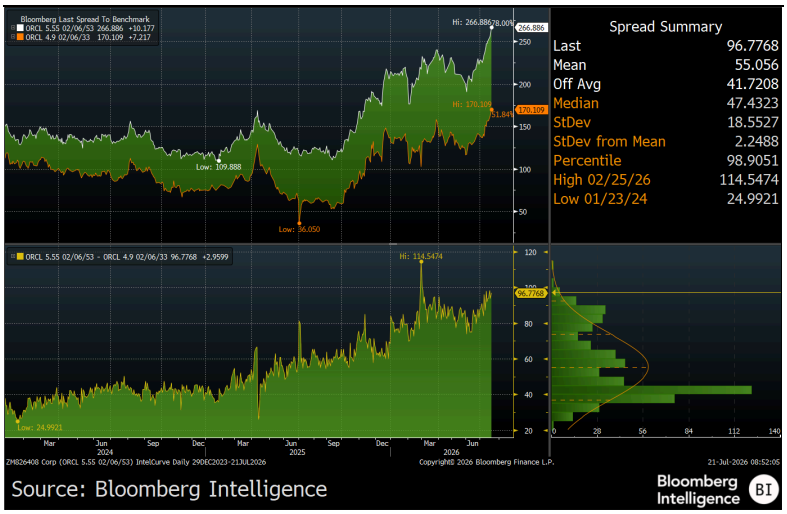
Steeper Curve as Leverage Concerns Rise

The pricing gap between Oracle's 4.9% notes due in 2033 and its 5.55% bonds maturing in 2053 is 97 bps, 55 bps steeper from the start of the year. If sentiment shifts to supporting management's ability to contain ratings risk -- based on reducing cash outflows, specifying borrowing details and realizing top-line benefits from its data-center investments -- could reduce spread volatility and flatten the curve in 2H. (07/22/26)

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Bloomberg Intelligence



Earnings Review

Earnings Review

Oracle AI Funding Stress Eases on Prepayments: Earnings Outlook

Contributing Analysts Anurag Rana (Technology) & Josh Christensen (Technology)

Post-1Q Earnings Outlook: Oracle's fiscal 2027 funding needs should stay contained even as AI-infrastructure growth accelerates, helped by customer prepayments, bring-your-own-hardware arrangements and supplier financing. We see capital expenditures of $90-$100 billion in fiscal 2027, with $70 billion coming from internal financing. Cloud infrastructure revenue rose 120% in constant currency and is likely to continue accelerating through 2027 as more backlog converts to sales.

The key debate should shift from funding capacity to execution, particularly the pace of data-center delivery. Operating margin held near 42% despite lower gross margin from a greater cloud-infrastructure mix, supported by lower operating expenses as a percentage of sales. We expect that to sustain through the rest of the year. (09/11/26)

Highlights From Recent Results:

- Fiscal 1Q Sales Rose 30% in Constant Currency (CC) to $19.3 Billion Due to Cloud Demand, vs. 11% Gain a Year Earlier
- Adjusted EPS Rose 31% to $1.92 vs. $1.47 a Year Ago, Driven by AI Computing Demand
- Adjusted Operating Margin Expanded About 30 Bps to 42.1% From Last Year Amid Revenue Gains and Operating Efficiencies
- Cloud Applications Revenue Was 10% Higher in CC, vs. Similar 10% Growth a Year Ago
- Cloud Infrastructure Revenue Climbed 120% in CC, Above 54% Gain in Prior Year, Driven by AI Training Workloads

Additional Resources:

- Earnings Release | NSN »

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